

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **Wall Street's momentum** trade has petered out after the strategy of chasing stocks that are rising in price paid off massively in the second quarter. **A1**
- ◆ **Stocks fell** and oil prices rose Monday as the Middle East conflict stoked unease in markets. Benchmark crude rose 2.8% to \$85.76 a barrel, and the S&P 500, Dow and Nasdaq shed 0.3%, 0.7% and 0.1%, respectively. **B1**
- ◆ **The FTC plans to sue** Amazon for allegedly manipulating prices businesses paid to advertise on its retail platform, reaping tens of billions of dollars for itself over seven years. **A1**
- ◆ **Trump declared his** support for federal tax credits to support film and television production in the U.S., giving hope to an industry that has lost huge amounts of business to foreign countries. **B3**
- ◆ **Shein's IPO in Hong Kong** this week will allow it to avoid paying out billions to early investors, but the fast-fashion company is still on the hook for a different disbursement. **B1**
- ◆ **Huawei reported** a drop in first-half net profit despite higher revenue, as spending on research and development surged. **B4**
- ◆ **GameStop said it** expects second-quarter profit to climb, boosted by investment gains from its eBay stake, but sales likely fell from a year earlier. **B3**
- ◆ **Anthropic signed** a cloud-computing deal valued at \$35 billion with Nvidia-backed cloud provider Lambda. **B4**
- ◆ **Oil-drilling and** production company SLB agreed to acquire thermal management company Kelvion from private-equity funds for \$4.1 billion. **B4**

Worldwide

- ◆ **Army Secretary Dan** Driscoll resigned following months of tension with Defense Secretary Pete Hegseth over the direction of the service and the ouster of numerous senior Army officers. **A4**
- ◆ **Russia is trying** to pound Ukraine's capital into submission by using its growing fleet of jet-powered drones for nearly continuous attacks. **A6**
- ◆ **Bessent blamed Carney** for the recent collapse of trade talks aimed at averting steep U.S. tariffs on Canadian goods, and brushed off concerns about a trade war with Ottawa. **A6**
- ◆ **A former Crips gang** leader was convicted of murder for orchestrating the drive-by killing of hip-hop legend Tupac Shakur in Las Vegas three decades ago. **A3**
- ◆ **A 17-year-old girl** who recorded a livestream of a shooting at a San Diego mosque in May that killed three people was charged with murder. **A3**
- ◆ **Iceland's rejection** of European Union membership talks is a blow to the bloc's effort to position itself as a geopolitical counterweight to Trump's high-pressure tactics. **A9**
- ◆ **Los Angeles County sued** State Farm over its handling of insurance claims after the deadly 2025 wildfires. **A2**
- ◆ **The death toll from** the floods in Nepal and China surpassed 900, as crews sought to reach workers trapped in mountain tunnels. **A5**
- ◆ **Kalshi banned** George Santos from its platform after a regulator alleged he made more than \$17,000 by betting on his attendance at the State of the Union. **A3**

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Amazon Sued Over Ad Rates

FTC, over 20 states allege the company reaped billions by manipulating prices

By Dave Michaels, Isabella Simonetti and Suzanne Vranica

The Federal Trade Commission filed a lawsuit on Monday against Amazon.com alleging that the e-commerce giant manipulated prices businesses paid to advertise on its retail platform, reaping tens of billions of dollars for itself over seven years.

The lawsuit, joined by a bipartisan group of more than

20 state attorneys general, alleged that Amazon deceived advertisers by secretly raising the minimum price advertisers had to pay to place ads promoting their products.

The case, filed in federal court in Seattle, becomes the consumer-protection agency's third major case against Amazon, which agreed to pay \$2.5 billion last year to settle an earlier suit alleging it

tricked people into signing up for its Prime service and made it hard to cancel the subscription. Another lawsuit alleging that Amazon engaged in illegal monopolization is headed for trial next year.

Amazon operates the third-largest digital-ad platform in the world behind Alphabet's Google and Meta Platforms. It earned \$68 billion from ads in 2025, according to securities filings. Its shares closed down 2.5% on Monday.

Advertisers allegedly suffered more than \$20 billion in harm by paying higher prices

for ads in auctions that Amazon ran, and in which it intervened, according to the complaint. The states, which have the authority to seek civil penalties, could attempt to claw some of that money back. States that joined the lawsuit include New York, California and Florida.

The complaint said inflated advertising costs for sellers contribute to consumers' paying higher prices.

"These inflated advertising charges allow Amazon to extract additional revenue from sellers on its platform, on top

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Wall Street's Hottest Trade Unravels

Bets on rising winners suddenly turned into a losing game for investors

By Gregory Zuckerman and Gunjan Banerji

Wall Street's hottest trade has gone ice cold.

For years, it paid off to buy stocks that were rising in price—and bet against struggling shares. The momentum trade was especially profitable this year, as investors piled into hot stocks including Micron Technology, Nvidia, Advanced Micro Devices and other artificial-intelligence darlings while wagering against those likely to be hurt by the embrace of AI.

The S&P 500 Momentum Index soared 44% in the second quarter, its best quarterly performance on record, and it surged 133% over the past five years, nearly double the broad market's performance.

Mega funds and rookie investors alike piled into the trade, some using leverage and options contracts in an effort to amplify their returns, propelling the underlying shares higher.

"It is a self-fulfilling prophecy," said Matthew Tym, managing director at Cantor Fitzgerald, of the trade.

Suddenly, the trade is a loser. The momentum index has tumbled more than 9% since July 1, lagging behind the S&P 500's 2.8% gain.

The index—which tracks stocks in the S&P 500 based on a "momentum score"—is on track for the biggest quarterly underperformance in 25 years. July was the second-worst month for the momentum trade in around 40 years, according to Bank of America estimates; the only month worse was April 2009, in the teeth of the global financial crisis.

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◆ **Heard on the Street:** Index-fund strategy wins B10

Russia Trapped in Strategic Mismatch

By Yaroslav Trofimov

Russia faces a fundamental asymmetry as it seeks to beat Ukraine into submission with intensifying airstrikes on shopping malls, power stations, ports and other infrastructure. Kyiv can rely on a secure hinterland beyond its borders—its European neighbors—for economic resilience and for military logistics.

The Kremlin, whose refin-

eries, ports and defense industries are also under attack by Ukrainian missiles and drones, has no such backup. Hits to Russia's militarized economy translate more directly into damage to the country's ability to keep the war going.

This lopsided geopolitical setup offsets, to a significant degree, Russia's advantage in firepower. It has also become a reason driving what Western officials said is a widening Rus-

sian campaign of sabotage, hacking and other hybrid operations aimed at intimidating European leaders and voters.

Warning Russia against taking hostilities to North Atlantic Treaty Organization members in Europe was a key message delivered by Central Intelligence Agency director John Ratcliffe on his recent trip to Moscow, people familiar with the matter said.

Russian officials have long

described their war as one against the "collective West," and not just Ukraine. Russian threats have become increasingly strident this summer, including warnings of military strikes against the Baltic states and even the U.K.

Ukraine's economy and military effort were funded by \$105 billion in new European assistance approved this year, money that came on top of

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Divorce Gives Peek Into Wealth Of Finance Billionaire

NEWARK, N.J.—Hedge-fund billionaire John Overdeck took to the witness stand last week to explain that he had always shared his riches with his wife, Laura Overdeck. That included the hundreds of millions of dollars in pay that he put into a joint account during their marriage, he said.

By Jasmine Li, Miriam Gottfried and Peter Rudegeair

"In fact, she was able to withdraw \$75 million the day before she filed for divorce," said Overdeck, co-founder of Two Sigma, the quant-trading powerhouse.

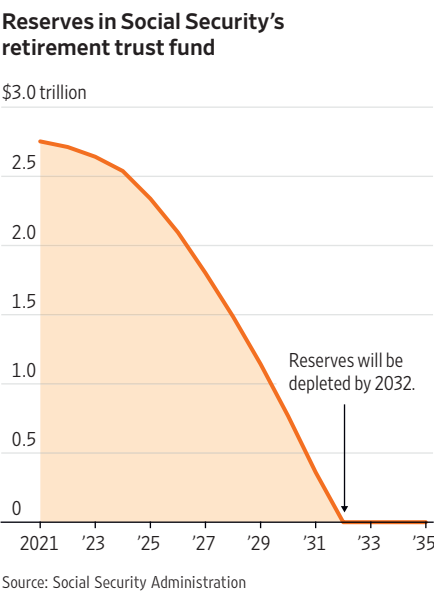
Overdeck didn't flinch when he mentioned the figure, just one of the many staggering sums being bandied about in a divorce trial under way in New Jersey. The trial could result in one of the largest divorce settlements ever and shake up the power struggle atop Two Sigma, where John Overdeck has been feuding with his co-founder, David Siegel.

John Overdeck is offering to give his estranged wife \$723 million to settle their split. Laura Overdeck has said their

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New Focus on Social Security

Talks on how to stave off automatic benefit cuts in Social Security accelerated this summer, but progress is slow. For now, Congress is taking baby steps on a path that could lead to tax increases or benefit cuts. **A4**



Team USA's Gold Medal Goalie Is a Master of the Caesar Salad

Hockey star Aerin Frankel turned her salad obsession into a successful side gig

By Adam Chandler

The Caesar salad at Hawksmoor is a foodie's dream. It features whole leaves of romaine lettuce massaged by hand with a dressing of fresh garlic, lime, Worcestershire, soft-poached eggs and Cantabrian anchovies.

Aerin Frankel—the Olympic gold medal-winning goaltender—gave it an 8.2 out of 10.



Head of lettuce

The score, while respectable, was still lower than a buffalo chicken Caesar she sampled in Syracuse and a Caesar wrap from Sweetgreen.

One knock against the Hawksmoor salad was that it came without the option to add meat. The toasted sourdough crumbles, more ice shavings than proper pucks, also lowered the score. "I

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Summer Scorches Europe's Economy

Record heat strained businesses

BORDEAUX, France—For 700 years, Château Carbonnieux relied on rainwater to nourish its grapes, a tradition that preserved the vineyard's connection to the local terror.

By David Luhnow, Stacy Meichtry and Ed Ballard

Then temperatures rose to a record-breaking 108 degrees Fahrenheit in June, and co-owner Philibert Perrin noticed the leaves of his

Cabernet Sauvignon grapes turning yellow and shriveling, an ominous sign. So he did the unthinkable: He sent a tractor rigged with a water tank and hoses into the vineyard to hydrate his most vulnerable vines.

"For the young vines we had to do it because they won't survive the whole summer," Perrin said. "At some point you see the plant suffering, and you've got to do something."

Europe has just endured a

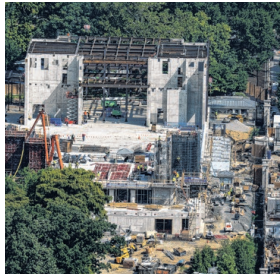
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INSIDE



AFP VIA GETTY IMAGES

JASON GAY
Novak Djokovic crashes out early at the U.S. Open. Could this be it? **A16**



DANIEL HEUER/REUTERS

U.S. NEWS
Supreme Court gives Trump green light to keep building White House ballroom. **A3**